

Though numerous exceptions exist, we can try to generalize a few important distinctions for these methods. Among these, decision rule methods frequently share elements of the probability-based school of thought, while advocates of actuarial methods (and dynamic programming methods) often identify more with the safety-first school.

Decision rule methods will demonstrate more willingness to start spending at a higher level than justified by the bond yield curve, with an expectation that future portfolio growth from stocks can be counted on to justify a higher spending rate now. Meanwhile, with actuarial methods, spending may start at a lower level, and spending will only increase in the event that upside potential has been realized. There is a greater recognition of the notion that stock investments are still risky even after long holding periods, so efforts to "amortize the upside" through higher spending may backfire.

Decision rules will generally try to keep spending at a steadier level and only make spending adjustments when deemed essential, while actuarial methods may call for more frequent spending adjustments. Actuarial advocates suggest that those seeking smoother spending should at least use a less volatile portfolio. For actuarial methods, spending volatility is more directly linked to investment volatility. Less volatile spending requires a less volatile portfolio. However, some actuarial methods may seek to smooth spending as well without reducing portfolio volatility by applying a rule that spending is not allowed to adjust too much on a year-by-year basis. Any effort to keep spending constant from a volatile portfolio creates risk for even greater subsequent spending declines.

Beyond these differing views of market risk, decision rule methods will generally adopt a conservative planning horizon beyond life expectancy (such as thirty or forty years), while actuarial methods will make decisions based on a dynamically adjusting time horizon linked to the remaining life expectancy as retirement progresses. Finally, decision rule methods will generally be more comfortable in formulating their spending parameters